

Case-TerraCog

Team 10



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Team Case – TerraCog

For each question, take the role of external consultant/advisor to Emma Richardson. Remember, *Emma Richardson has been tasked with “moving TerraCog toward greater operational alignment and increasing cross-departmental cooperation.”*

DECISION AND ANALYSIS

Option 1: Delay the Launch, Push for Further Cost Reduction, and Sell at a Competitive Pricing of \$425

Q1 - Why did we choose this option?

Our team believes that the best decision for TerraCog would be to send the current Aerial back to Product Development for retooling. Although this would mean that TerraCog would have their product enter the market late (probably 6 months to 1 year), they could develop an upgraded GPS that is lower cost. The Aerial would be able to promise upgraded features to their customers, such as faster satellite imagery processing. At a competitive price of \$425, TerraCog can maintain its margins, allowing them to increase profitability. Furthermore, by pricing the GPS at \$425, TerraCog can successfully compete with Posthaste, a product priced at \$400 that has already entered the market. Setting a price point any higher than \$425 may lead to the risk of losing more price-conscious customers. As mentioned, although TerraCog’s choice would involve the risk of launching the product late, it is important to note that TerraCog’s client base consists of premium customers who are loyal to the brand and constantly seek high-quality from TerraCog’s products. Promising a strong reputation built on quality, customers would rather seek association with TerraCog’s brand as it occupies their mind shares, strengthening their brand loyalty.

Q2 - List the Pros and Cons of this option.

1. Pros:

- **Quality Control and Reputation:** TerraCog explicitly states that its reputation is heavily dependent on the high quality of its products. If TerraCog decides to launch the Aerial product now, it could potentially lead to customer dissatisfaction due to the lack of quality in a rushed product. Therefore, we believe that delaying the launch would be the most sensible decision as it would allow TerraCog to take the necessary steps to reduce costs, improve quality, and ensure that Aerial has characteristics that allow it to surpass other competitive alternative products. If Aerial is priced at \$425, it would be priced higher than Posthaste (\$400) and Garmin's (\$395) products. However, the Aerial has the potential to be more attractive because its speed would be faster than the Aerial's current product and the competitors' products. Therefore, it would be a beneficial decision for TerraCog to delay the launch and work on upgrades for the product.
- **Maintain Margins:** During the meeting, Becky Timmons pointed out her concern about the risk of TerraCog's margins being squeezed by rising costs, such as increasing fuel prices. With the current Aerial product, TerraCog can only maintain profit margins if they sell the newly developed Aerial product for \$475. Thus, it would be better if they delayed the launch, allowing for cost reductions and ensuring that their margins are maintained for a competitive pricing of \$425 (cutting \$50 off cost). Lower production costs can help TerraCog price the Aerial GPS competitively against rivals like Posthaste and Garmin, who already offer similar products at lower prices. This would ultimately allow the company to reap the benefits of sound financial health and increased market share.
- **Long-term viability/sustainability:** While a delay could push back product launch by six months, this time could allow for cost reductions (by \$50) and improvements (in satellite imagery speed processing), making Aerial more competitive and maintaining TerraCog's standing in the market. As a result of cost reductions, TerraCog could offer the product at a price that allows the product to enter the market sooner without risking loss of profitability. It might also give TerraCog more flexibility in its marketing strategy, enabling price promotions or bundling offers with other products. A high-quality, cost-efficient product can help to solidify TerraCog's reputation as a leader in the GPS market. By being patient and meticulous in developing the Aerial, TerraCog can reap the benefits of long-term customer loyalty and prevent the possibility of a damaged brand reputation from releasing a rushed product.

- **Competitive Pricing:** Pricing the Aerial at \$425, TerraCog can effectively compete with Posthaste, which has already entered the market at a lower price point (\$400). This price allows TerraCog to reap the benefits of being competitive and maintaining a sustainable margin. Considering that TerraCog's other GPS product is priced at \$375, a price point below \$425 can potentially lead to the cannibalism of their product.
- **Avoiding Price Discrepancy Issues:** Because competitors are offering cheaper options, if TerraCog were to make their product's price too high (over \$425), they risk alienating price-sensitive customers. The \$425 price point ensures TerraCog does not lose customers to more affordable competitors while maintaining healthy profit margins.

2. **Cons:**

- **Even later market entry:** Delaying the launch by an additional six months would put TerraCog even further behind its competitors, particularly Posthaste, which has already established a foothold with its Birdsl. Being late to the market has already cost TerraCog lost sales and lost market share. Garmin also has a competitive product and missing another sales cycle could severely harm TerraCog's ability to capture consumers.
- **Need from demand:** Ed Pryor, VP of Sales, has repeatedly mentioned that there is a strong demand from their customers for TerraCog's version of a GPS with satellite imagery. The sales team was frustrated that they couldn't offer a comparable product to respond to market needs. If TerraCog decides to delay the launch further, they risk losing retailers and customers who may turn permanently to their competitors.
- **Opportunity Cost:** If TerraCog chooses to continue to invest its resources in upgrading Project Aerial, other promising projects that the production team is currently working on may be delayed or set aside. This decision could limit TerraCog's ability to explore new growth opportunities by working on launching other new products, which could be more lucrative in the long run.
- **Risk and uncertainty:** There is no certainty that the process of sending Aerial back for retooling would result in significant cost reductions. Both the production team and the design team have already indicated that they have cut costs as much as possible without compromising Aerial's quality and TerraCog's value proposition. In addition, with the fuel and other costs continuing to rise, along with the high price

point, external economic factors may continue to pressure TerraCog's margins, making it difficult to maintain profitability even after the delay.

- **Internal Friction:** There's already significant tension between departments (sales, production, and development). Continued pressure to cut costs could exacerbate these conflicts and affect team morale.

Q2 - Stakeholders - Who will be more satisfied and who will be more dissatisfied with your decision and why?

❖ Satisfied:

- **CFO (Becky Timmons):** Becky will likely support this decision since the delay is meant to reduce production costs. Her primary concern is preserving the company's margins. By lowering costs, TerraCog can maintain its margins even with a competitive \$425 price point.
- **Design & Development Team (Allen Roth, Cory Wu) & Production Team (Tony Barren):** The design team, particularly Allen Roth, has expressed frustration over rushed timelines and potential compromises in product quality. By delaying the launch and seeking cost reductions, the design team and the production team get additional time to refine their process and optimize the manufacturing cost, helping Tony avoid potential future quality issues like those experienced on prior projects.
- **Long-Term Investors:** Investors focused on the long-term success of the company may be pleased with this decision, as it seeks to maintain product competitiveness and profitability in the long run.

❖ Dissatisfied:

- **Sales Team (Ed Pryor & his team):** The sales department will be the most dissatisfied with this decision. Delaying the launch means they will continue to face pressure from retailers and customers who are demanding a GPS product with satellite imagery from TerraCog. The longer they wait, the more difficult it becomes to win back customers from competitors like Posthaste, ultimately leading to a loss of sales opportunities. Sales reps may also lose trust in the leadership's ability to execute product launches on time, affecting morale, and potentially leading to loss of talent.

- **Retailers:** Key retail partners who are eager to stock a TerraCog may be frustrated by further delays. Their expectations for a timely product have already been set, and the delay might cause them to turn more fully to Posthaste or other competitors.
- **Consumers:** TerraCog's loyal consumer base, particularly those in outdoor and recreational markets, may lose patience with the brand if they perceive the company as slow to innovate. The delay could further erode consumer confidence, making it harder to reclaim market share even after Aerial's eventual launch.

Option 2: Proceed with the Current Cost Structure and Launch ASAP at \$475

Q1 - Why did you not choose another option?

This option is to go with the existing Aerial unit and get it onto the market ASAP. We did not choose to proceed with the current cost structure at a high price point of \$475 because of the following reasons:

1. Aerial's current speed feature does not match up to the high price point. Furthermore, considering the lower price points of competitors, TerraCog will be at a disadvantage. Without stark contrasts in its performance and features, the Aerial will not be able to effectively compete with the lower-priced alternative products.
2. Our customer segment and positioning are premium therefore our customers will not have an issue waiting for the product with enhanced features to come onto the market. Also, we feel the unique selling point (USP) of the product should never be lost. Since our USP is quality, we don't want it to be lost just by launching with the current model. We could also get this because in this case, our customers kept asking about the new launch indicating that they would love to wait longer. Thus, we think the design & production team could use time in retooling so that we can proceed with the price point.

Q2 - List the Pros and Cons of this option.

1. Pros:

- **Established Brand Value and Mind Shares:** This is one of the very crucial characteristics when it comes to any brand, and a \$475 price point could help us achieve this. Since this is an already-known brand with higher premium pricing will help the company cater to the richer segment of society. The value multiplies and the brand is seen as a leader in quality and innovation. With higher brand value comes higher quality, exclusivity, and status which will enable the brand to dominate consumer preferences and make it a leader in its sector.
- **Profitability:** \$475 will lead to higher profits, which will compensate for lower sales volume. This will also improve the financial health of the company in the long run which in turn will provide more resources for product enhancement, innovation, or expansion. Higher profit margins always attract more investors which will lead to higher stock prices or easier access to capital.
- **Segmentation:** This price point targets the segment which is not sensitive to price change. In other words, TerraCog can also avoid direct competition with lower-cost alternatives and maintain its position through differentiation. This is important because it also helps them identify which group of customers are loyal to their brand.
- **Cost recovery:** Higher prices can help recover the cost of production or operational costs. If the production cost is high, achieving more sales through premium pricing can help reach economies of scale which will lower the per unit cost of the product. This will also provide more money to the company for research and development, leading to continuous improvement and innovation.

2. Cons:

- **Reduced market share:** Since the price is higher, there may be a shift in the customer base to move to alternative options which will lead to a competitive disadvantage. A niche market focus will also hamper the overall market reach and growth potential in comparison to our competitors, Posthaste and Garmin.
- **External factors:** We also need to consider the economic sensitivity which may lead to customers saving more and spending less. Factors like inflation, rising interest rates, or increased cost of living can impact consumers' purchasing power

as they may need to save more and spend less knowing that they have cheaper options available.

- **Value issues:** If the value is not perceived by customers, then there will be a shift in the customer base moving to cheaper products. In addition, if perceived value is low customers might also assess the product's value for money which leads to loss of market share.
- **Rigidity in cost structure:** High fixed costs and specialized production setups can limit a company's ability to quickly adapt to shifts in market demand or consumer preferences. This rigidity can hinder the company's ability to respond effectively to new trends or competitive pressures.
- **Dissatisfaction:** Often high prices set high expectations for product quality, service, and overall value. If the product or service fails to meet these expectations, it can lead to customer dissatisfaction. This dissatisfaction may then lead to poor word of mouth, negative reviews, and brand damage. In return, this will lead to challenges in retaining the old customers and getting new ones to increase the market base.

Q3 - Stakeholders - Who will be more satisfied and who will be more dissatisfied with your decision and why?

❖ Satisfied:

- **Design and production team:** They will have additional time to enhance the product with more features, ensuring that it aligns with the premium positioning and customer expectations. This approach allows for more innovation and a stronger product launch.
- **Premium segment customers:** They will be satisfied because they will be getting better quality and advanced features with cutting-edge technology.
- **Finance team:** This team will be happy as they don't have to compromise on the profit margin, which will not ultimately affect the long-term financial health of the company.
- **Shareholders:** In the long term, they will be happy because this decision can lead to strengthening their market position, which will lead to higher profits.

❖ Dissatisfied:

- **Price sensitive and customers needing immediate availability:** These segments will be affected and may shift to other brands in the market.

- **Suppliers:** The delayed launch may lead to price changes and will require them to accommodate a new schedule aligning with the new launch. This can also lead to changes in supply issues as some of the supplies might not be available that fast and may need to be ordered before.
- **Distributors:** They will face short-term difficulties as they need to revise the plan and strategy.

Option 3: Proceed with the Current Cost Structure and Launch ASAP at \$400

Q1 - Why didn't we choose this option?

The reason that we did not choose this course of action for the Aerial product is because of the profit margins. Due to the cost that would be incurred in the production of this product. We believe that lowering the price will not benefit us in the long run because squeezing the profit margin is not the way to a sustainable business. It would also lead to slower iterations of the product due to low funds for R&D and other additional features that could be added to the product.

Q2 - List the Pros and Cons of this option.

1. Pros:

- **Regain Lost Market Share:** Launching at a competitive price point of \$400 can make the Aerial product more appealing to a wider range of audiences, particularly those who are more price sensitive. A competitive price can help TerraCog reclaim some of the market share lost to competitors like Posthaste, whose GPS devices feature satellite imagery which is a key feature that Aerial will also offer. On top of that, launching it as soon as possible could also help TerraCog gain back its market share before it's too late.
- **Enhanced Retail Positioning:** A lower price point may increase the likelihood of gaining better placement in retail stores, as products in this price range tend to receive better shelf placement.

2. Cons:

- **Lower Immediate Profit Margins:** Pricing the Aerial at \$400 will result in lower profit margins, which could impact TerraCog's overall profitability if the expected sales volume does not materialize.
- **Potential Financial Strain:** Lower margins may limit TerraCog's ability to absorb unexpected costs or market shifts, potentially placing financial strain on the company if the product does not perform as expected.
- **Reduced Reinvestment Capacity:** Lower profits may restrict TerraCog's capacity to reinvest in critical areas such as research and development, marketing, and other strategic initiatives. This could hinder the company's ability to drive long-term growth and innovation.

Q3- Stakeholders - Who will be more satisfied and who will be more dissatisfied with your decision and why?

❖ Satisfied:

- **Production Team:** Starting with the production team, will be quite pleased as they will get more money to get superior materials and advanced manufacturing techniques. This means that it will result in better quality products with enhanced durability. This will also help us get an additional budget for innovation and monitor quality control.
- **Finance Team:** Another one will be the financial team as they would love to have more revenue. Higher prices lead to more revenue per unit sold, which increases the profitability and financial health of the company in the long run, provided that the price increase does not result in a significant drop in overall sales volume.
- **Design team:** The design team will be happy for similar reasons that they will get more budget to make premium design elements, advanced functionality, or unique aesthetic touches that will set them apart from competitors.

❖ Dissatisfied:

- **Sales Team:** The sales team and the retail partners may be unhappy with choosing the higher price because it makes it harder for the product to be sold at a higher price so the sales team will have to do more work for the merchandise to be

pushed. This will involve intensive sales tactics, additional marketing efforts, and more promotional activities which in turn require more effort, time, and money.

- **Retail Team:** Similarly, the Retail Partners will have a problem selling the product if the competitor is at a cheaper price. This will increase the pressure as they won't be able to sell the product off the shelves faster, leading to more inventories.
- In summary, it will be a challenge for the sales and retail team but will be good news for the design, production, and financial team.

Option 4: Abandon Project Aerial

Q1- Why didn't we choose this option?

We did not choose to abandon Project Aerial because there is a clear demand for customers who want a GPS implemented with its satellite imagery. Considering TerraCog has invested a lot of money and resources into developing this new product, it would be a tremendous loss if Aerial completely abandons this project. By abandoning Project Aerial, it means that TerraCog will miss out on a majority of market shares. There will be a bigger gap between TerraCog and its competitors. Project Aerial is critical for TerraCog to be competitive in this GPS market, releasing the product will be a big help to gain back market share.

Q2 - List the Pros and Cons of this option.

1. Pros:

- **Focus on core products:** In the past, TerraCog was a company that was known for producing high-quality GPS products. With Project Aerial, the development process was cut short which might lead to low-quality products. This could hurt the reputation of TerraCog and further push it away from mainstream satellite GPS technology in this comparative market. It would be a better choice to focus on other opportunities instead of satellite imagery.
- **Avoiding high cost:** The case has mentioned that Project Aerial was costing the company a significant amount of money and abandoning the project would save them resources to produce and improve its core products. TerraCog could allocate its budget to other profitable projects. In this case, it was mentioned that the design

team and production team were working on a cycling and fitness GPS before Project Aerial was given by the project manager.

- **Reduce market risk:** Project Aerial is already having pricing issues and is significantly more expensive than its competitors. Consequently, TerraCog could have a disadvantage from the start. If they release the new product, it could lead to negative sales performance in this price-sensitive market. By not releasing the product, it could avoid having outdated and less price-competitive products.
- **Differentiation instead of copying:** Even though the company Posthaste Birdsl GPS has new satellite imagery technology, TerraCog has its strength which is creating products that offer unique features. It could be a better market opportunity to refocus on what TerraCog did best instead of copying existing products. It could allocate its resources to other parts of the GPS like improving battery life for outdoor enthusiasts.

2. Cons:

- **Not able to catch up to its competitors:** By abandoning project Aerial, TerraCog might fall behind its current competitors—posthaste who are already having success by launching its new GPS products. The satellite's features might attract more customers since it's a new and popular trend in technology. By TerraCog missing out on this brand-new trend, the company might not catch up to its competitors in the future.
- **Wasting resources:** TerraCog has already spent an enormous amount of money on this new project and abandoning it will not have a return on this big investment. The development team also spent months preparing for this project, abandoning will mean that they wasted a lot of manpower at this stage in time.
- **Tensions between departments:** Since the retail price of Project Aerial was higher than its competitor, the sales team has been putting a lot of pressure on the development team. By not releasing the new product, might create high tensions between the sales team and other departments and further hurt the relationship inside the company.

Q3- Stakeholders - Who will be more satisfied and who will be more dissatisfied with your decision and why?

❖ Satisfied

- **Production Team:** The production team will be satisfied if Project Aerial is abandoned. They are already having issues with the manufacturing part of Aerial due to the high cost, and they are concerned about the quality of the new products.
- **Finance Team:** The finance department of the company is also concerned about the costs of its new product. The high price point could be difficult to sell compared to its competitors. They think that Project Aerial would not be profitable if they decided to release it right now.
- **Design Team:** The design team of Project Aerial will be satisfied because they have no interest in making this new device with satellite imagery. The design team is also pressured by the leader to make changes such as lowering the costs.

❖ Dissatisfied

- **Leaders of TerraCog:** Emma Richardson and Richard Fiero will be dissatisfied with the release of project Aerial. This has shown that the company is maintaining a highly competitive level with its competitors. It also shows the ability to solve challenges.
- **The Sales Team:** The sales team will also be dissatisfied with this release. Project Aerial is estimated to increase sales and further avoid losing market share.
- **Consumers:** Consumers who are waiting for the newest product from TerraCog are also going to be dissatisfied if the company decides to abandon this project. Loyal customers who now want satellite imagery in the GPS are going to buy competitors' products.

Conclusion:

After reviewing the pros and cons of all options, we believe that Option 1, which is delaying the launch to reduce costs and sell at \$425, is a balanced approach that considers TerraCog's premium reputation, achieving profitability while competing with their competitors (Posthaste and Garmin). The risk associated with this option is the uncertainty of delaying the launch of the product. Delaying gives TerraCog the ability to remain aligned with its USP and achieve its financial goals.